

Taxes in Retirement in Plain English - Printable Pack

From *Taxes in Retirement in Plain English: The 2026 Tax Year Guide* by Daniel Marsh (Oro Enigma Publishing). Print as many copies as you need.

Appendix A - The 2026 Numbers on One Page

Item	2026 figure
Tax brackets (single / joint), 10% to 37%	See Chapter 1: 12% bracket to \$50,400 / \$100,800; 22% to \$105,700 / \$211,400; 24% to \$201,775 / \$403,550
Standard deduction	\$16,100 single; \$32,200 joint; \$24,150 head of household
Age-65 addition	\$2,050 single or head of household; \$1,650 per spouse joint
Senior deduction (2025 to 2028)	\$6,000 per person 65+; phases out 6% above \$75,000 single / \$150,000 joint MAGI
Filing threshold, 65+	\$18,150 single; \$35,500 joint both 65+ (\$33,850 one)
Social Security taxation thresholds	Provisional income \$25,000 / \$34,000 single; \$32,000 /

	\$44,000 joint (never indexed)
Capital gains 0% / 15% / 20%	0% to \$49,450 single, \$98,900 joint; 15% to \$545,500 / \$613,700; 20% above
Net investment income tax	3.8% above \$200,000 single / \$250,000 joint MAGI
Required minimum distribution age	73 (born 1951-1959); 75 (born 1960 or later)
RMD penalty	25% of the shortfall; 10% if corrected within two years
Qualified charitable distribution	\$111,000 per person, from 70½; about \$55,000 one-time to a charitable gift annuity
IRA contribution	\$7,500; plus \$1,100 catch-up from 50
401(k) contribution	\$24,500; plus \$8,000 catch-up from 50; \$11,250 at 60 to 63
HSA contribution	\$4,400 self-only; \$8,750 family; plus \$1,000 from 55
Medicare Part B standard premium	\$202.90 a month; surcharges from \$109,000 single / \$218,000 joint (2024 income)
Medical expense deduction floor	7.5% of AGI
State and local tax deduction cap	\$40,400 (phased down above about \$505,000 MAGI)
Charitable, non-itemizers	\$1,000 single / \$2,000 joint cash gifts
Charitable, itemizers	Above a 0.5% of AGI floor; cash to 60% of AGI
Home sale exclusion	\$250,000 single / \$500,000 joint
Annual gift exclusion	\$19,000 per recipient

Federal estate and gift exemption	\$15,000,000 per person
Estimated tax dates	15 April, 15 June, 15 September 2026; 15 January 2027
Safe harbour	90% of this year or 100% of last year (110% if AGI over \$150,000)
Filing deadline for the 2026 return	15 April 2027 (extension to 15 October)

Appendix B - The Worksheets

Worksheet 1 - How much of my Social Security is taxable (provisional income)

Line		Amount
1	Total Social Security benefits for the year (box 5 of SSA-1099)	
2	Half of line 1	
3	All other income: pensions, IRA withdrawals, wages, interest, dividends, capital gains, annuity earnings	
4	Tax-exempt interest (municipal bonds)	
5	Provisional income: lines 2 + 3 + 4	
6	First threshold: \$25,000 single / \$32,000 joint	
7	Second threshold: \$34,000 single / \$44,000 joint	
8	If line 5 is below line 6: none of the benefit is taxable. If between: up to 50% of the excess over line 6 (capped at half the benefit). If above line 7: 85% of the excess over line 7 plus the smaller of the line-6-to-7 amount or \$4,500 / \$6,000, capped at 85% of the benefit	

The IRS worksheet in the Form 1040 instructions does the exact figure; the software does it in a second.

Worksheet 2 - My required minimum distribution

Account balance on 31 December of last year (each IRA; each 401(k) separately)	
My age on 31 December of this year	
The factor from the Uniform Lifetime Table (73: 26.5; 74: 25.5; 75: 24.6; 76: 23.7; 77: 22.9; 78: 22.0; 79: 21.1; 80: 20.2; 81: 19.4; 82: 18.5; 83: 17.7; 84: 16.8; 85: 16.0; 86: 15.2; 87: 14.4; 88: 13.7; 89: 12.9; 90: 12.2; 91: 11.5; 92: 10.8; 93: 10.1; 94: 9.5; 95: 8.9; 100: 6.4)	
Required amount: balance divided by the factor	
Amount already taken this year (including QCDs)	

Still to take by 31 December	
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Worksheet 3 - Filling the bracket (November)

Line		Amount
1	Income already certain for the year: pension, wages, interest, dividends, taxable Social Security, RMD, gains realised	
2	Deductions: standard deduction (with the age addition) or itemized, plus the senior deduction if it applies	
3	Taxable income so far: line 1 minus line 2	
4	Top of the bracket I am willing to fill (12%: \$50,400 single / \$100,800 joint; 22%: \$105,700 / \$211,400; 24%: \$201,775 / \$403,550)	
5	Room in the bracket: line 4 minus line 3	
6	The Medicare line two years out: \$109,000 single / \$218,000 joint of MAGI (the 2026 figure; it rises with inflation); my MAGI so far; room before the line	
7	The 0% capital gains room: \$49,450 / \$98,900 minus line 3	
8	The Roth conversion or the gain to realise before 31 December: the smaller of lines 5, 6 and the amount that keeps the Social Security calculation where I want it	

Worksheet 4 - The IRMAA planner

Year of income	Sets the premium for	My MAGI (AGI + tax-exempt interest)	Line: \$109,000 / \$218,000 (rising)	Over or under	Life-changing event this year? (SSA-44)
2024	2026				
2025	2027				
2026	2028				
2027	2029				

Worksheet 5 - The withholding check (January)

Source	Expected income this year	Withholding now (form)	Withholding I will set
Social Security (W-4V: 7, 10, 12 or 22%)			
Pension (W-4P)			
IRA withdrawals / RMD (W-4R)			
Annuity			
Wages (W-4)			
Interest, dividends, gains (estimates or the			

December trick)			
Last year's total tax (the safe harbour)			
Total withholding planned			

